

Understanding Cryptocurrency

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Cryptocurrency is a type of currency that uses digital files as money. Reserve Bank of India banned the use of cryptocurrency in India in April 2018, but the Supreme Court revoked the ban on March 4, 2020. Moreover, the current lockdown has spurred interest in this field, and today over five million Indians are its active users.

Such files are created using the same methods that are used in cryptography (the science of hiding information). Encryption techniques are used to regulate the generation of units of currency and verify the transfer of funds operating independently of the central bank.

The first such currency, Bitcoin, faced a lot of criticism and was considered a scam. But over time, when experts from various sectors started understanding Bitcoins and the underlying technology behind them, they understood the power

of digital currencies and started to look at them in a positive way. Bitcoin has become the *de facto* standard for cryptocurrencies.

Digital signatures can be used to keep the transactions secure and let other people check that these transactions are real. Like any other currency, cryptocurrencies can also be used to buy goods and services. You can also trade them for profit. Based on the technology of 'blockchain,' their decentralised nature makes them theoretically immune to the old ways of government control and interference.

Blockchain is a continuously growing list of records called blocks, which are linked and secured using cryptography. It is an open, distributed ledger that can record transactions between two parties efficiently and in a verifiable and permanent way. For use as a distributed ledger, the blockchain

is managed by a peer-to-peer network collectively adhering to a protocol for validating new blocks. Once recorded, the data in any given block cannot be altered retroactively.

Background

Filing for bankruptcy in September 2008 by Lehman Brothers of the US nucleated an unprecedented global financial crisis. This spurred initiatives for an alternative.

Already working on blockchain, a talented computer coder with pseudonym Satoshi Nakamoto proposed Bitcoin on January 3, 2009, as a secure digital currency. There was no paper, copper, or silver—just 31,000 lines of codes and an announcement on the Internet.

Today, it is legal in the USA, Japan, South Korea, Russia, the UK, and Brazil besides European countries like Italy, Sweden, and the Netherlands.

